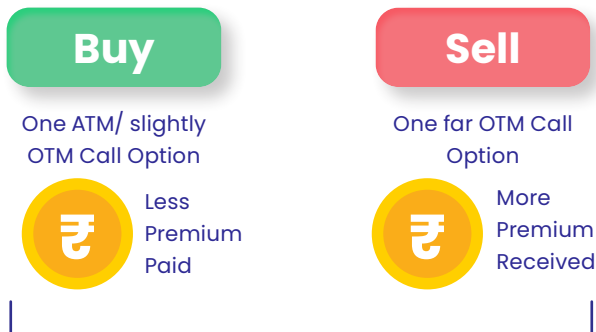


4.2 Bearish Strategies

A bearish market is when the market is going down. You can apply a bear put spread, a bear put ratio spread, or a bear put ladder spread strategy. Let us discuss these strategies in detail.

4.2.1 Bear put spread

In a bear put spread, you buy one ATM or slightly OTM put option and sell one that is further OTM. It reduces the premium cost but also caps the potential profit. **This strategy is suitable when you expect a moderate decline.** Since you are selling an option, you must post margin to execute this strategy.



Therefore, net premium paid is less

Example:

Suppose you expect Nifty to decline but not fall below 24,800. To capitalise on this view, you set up the following bear put spread:

Particulars	Strike Price	Price
Nifty put bought	25,000	₹160
Nifty put sold	24,800	₹80

Here, the margin required is ₹40,000.

Let us calculate the rewards, costs, and risks.

Net premium paid = ₹160 - ₹80 = ₹80

Break-even point = 25,000 - ₹80 = 24,920

Maximum risk = Net premium paid x Lot size = ₹80 × 75 = ₹6,000